Group 10

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# Conversational AI
# &
# Enterprise AI Software Industry in China

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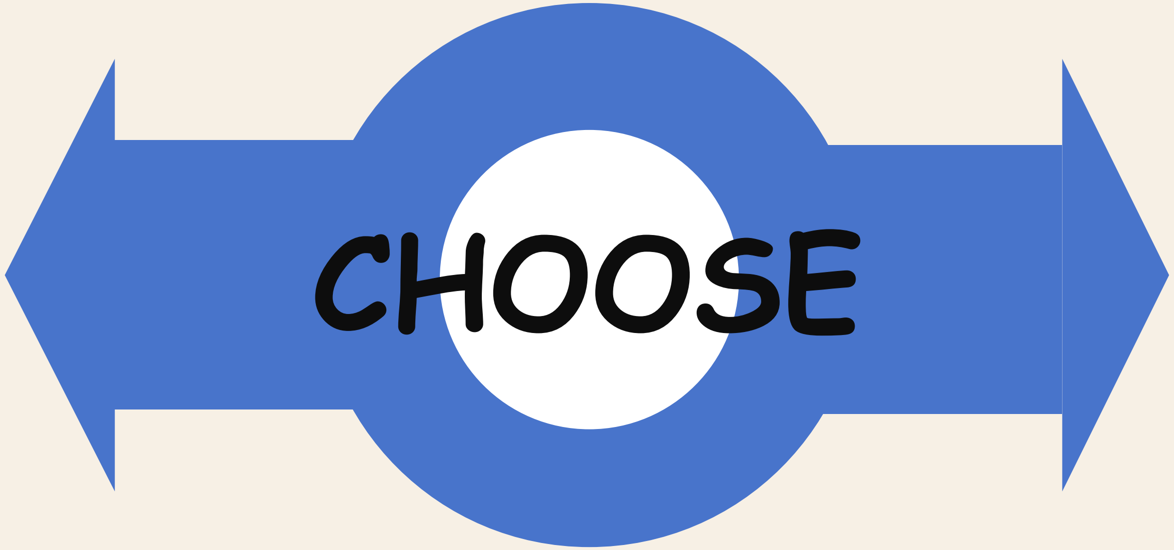
# Focal Issue

## Develop

Invest more funds in research and development to create new AI products.




## Diversify

Leverage existing AI products, step out of the current comfort zone, and expand into entirely new industries.

# Key Factors

## 1 Competition

Competitors hold first-mover advantages, industry giants such as Baidu and Iflytek have accumulated massive datasets in sectors including retail, tourism and education.

## 2 Cost

It requires huge upfront investment and has a long payback period, while it demands substantial resources for trial and error, data accumulation and market development.

## 3 Background

The management team and core employees all come from the Tencent with no professional experience in other sectors.

## 4 Policy

Zhuiyi needs to adapt to the policy compliance and data security standards of different industries, and also needs to comply with the regulatory requirements of various sectors.

# P political

## 01 National strategic support

- The Chinese government designates AI **as a strategic emerging industry** (stressed in the 13th/14th Five-Year Plans)
- AI enterprise capital investment surged from 7.18B yuan (2015) to 25.35B yuan (2020).

## 02 Privacy regulations

- **Physical firewalls** - established by Chinese financial institutions, directly influencing the technical deployment models of the industry
- The *2021 Personal Information Protection Law* tightens data compliance requirements.

## 03 Government promotion of digitalization of state

- The largest customers are always the **government or state-owned enterprises** ,in China.(low price sensitivity, high stickiness)

➡ government-driven SOE digital transformation creates stable demand for conversational AI.

※Data sources： Global Artificial Intelligent Development White Paper, Deloitte, 2020
Eileen Yu, “China’s Personal Data Protection Law Kicks in Today,” Zdnet, October 31, 2021

# E Economical

## Market size and growth trend

- The conversational AI industry in China has experienced explosive growth over the past five years
- In 2019, conversational AI accounted for 22% of the market share in China's AI industry, second only to computer vision .

## Support and pressure from the capital marke

**Dialogic AI rely heavily on venture capital.**

●Support:Zhuiyi Technology completed multiple rounds of financing from 2016 to 2021.

●Pressure: After the pandemic in 2020, "the financing options became very limited and market capital dried up"——startups without benchmark clients ran out of funds quickly.

## Customer Payment Capacity and Procurement Model

- **Financial clients** (SOE banks/insurance): low price sensitivity, focus on data security, accept high fees for local deployment.
- **Internet clients**: cost-sensitive, demand rapid iteration/agile development/high accuracy.

## Cost challenge

- Zhuiyi faced slower revenue growth & rising costs after 2019 expansion.
- The industry has **high R&D** (iFLYTEK 21.8% average R&D rate, 2015-2019) and **labor costs** (pandemic raised engineer/on-site delivery costs).

## Different Pricing Models

Three mainstream pricing models in the industry: on premises, public cloud, cost-per-success.

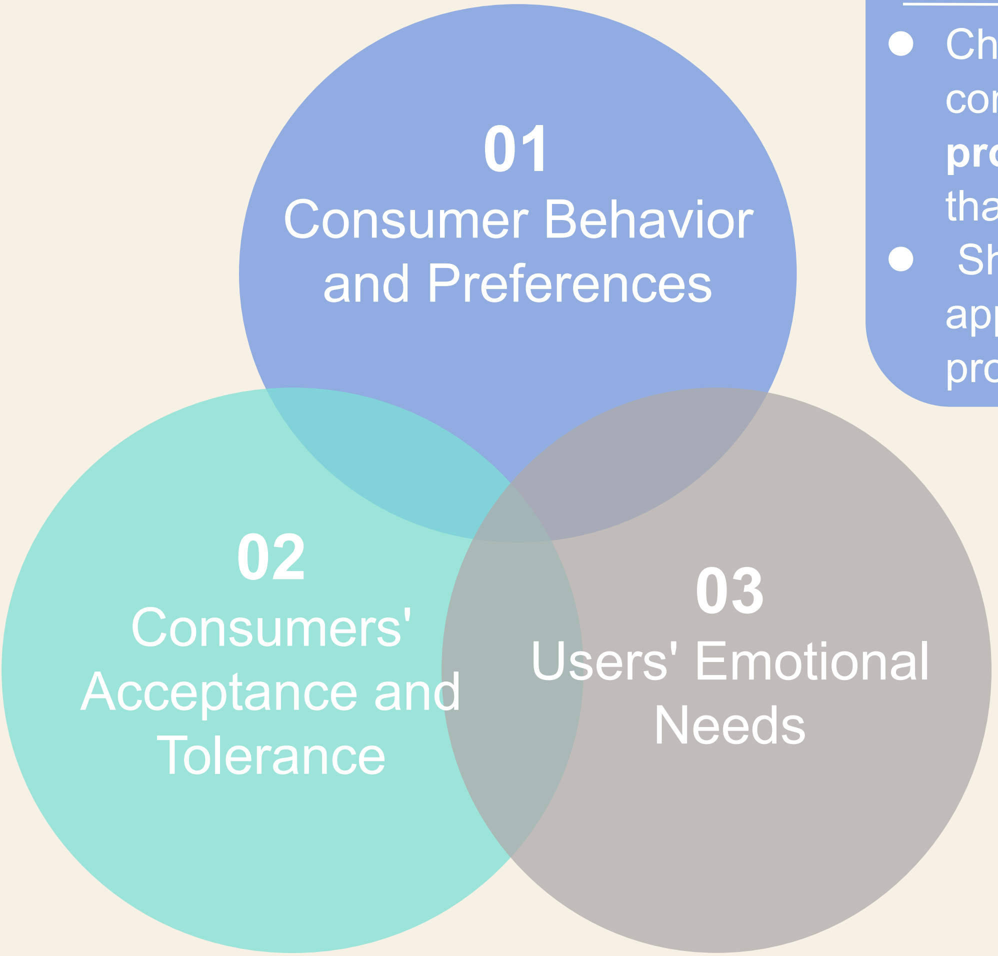
| On Premises Model | Public Cloud Model |
|---|---|
| Three months | Two weeks |
| 1,000,000 RMB | 300,000 RMB |
| Once | Subscribed annually |
| 15% | 5% |

※Data sources： Zejing Liu, Conversational AI Track: The Wind Is Coming, Flowers Are Blooming, Huaxi Securities Co., LTD., 2021

# S Social

## Consumers' Acceptance and Tolerance

- **B2C market**: hinese consumers **tolerate** AI product malfunctions"*Consumers sometimes even fail to notice product changes because most errors are resolved within six hours after the release.*"
- **Enterprise clients**: **demand** plug-and-play AI solutions, **high requirements** for completeness/stability—one failure loses trust.




## Consumer Behavior and Preferences

- Chinese consumers prefer telephone communication—Zhuiyi's **voice product** (Call) has a larger market than **text product** (Bot)
- Short videos **further** boost the application of voice interaction products.

## Users' Emotional Needs

- Society values the **emotional dimension** of AI interaction.When users use the product, they not only need their questions to be resolved but also need to be **understood and empathized with**.

※Data sources: China Chatbot Industry Development, iResearch.

# Technology

**NLP technology**

The SuperGlue ranking shows that Zhuiyi's NLP Technology exceeds that of competitors

**Product transformation**

The focus of the industry has shifted from Chat to more complex Agents. People need AI that can complete tasks and understand complex emotions

**Multimodal interaction technology**

Zhuiyi Technology's Face products integrate semantic, speech, and video multi-modal algorithms, which can simulate humans

**Technology investment**

iFLYTEK's average R&D expense ratio from 2015 to 2019 reached 21.8%, and the R&D cost of Zhuiyi Technology also accounted for a large part of the operating cost. The whole industry is facing the pressure of large R&D investment

※Data sources: Discussion on AI Industry Technology Trends in 2024-2025.

# E Environment

## 03 Environmental benefits of remote work

The epidemic has driven the surge in demand for contactless technology, while AI customer service reduced people's need to go out, which has a certain synergistic effect

## 02 Green computing power has become competitive

"Computing and electricity collaboration" : enterprises should not only care about the strong computing power, but also care about whether the energy is environmentally friendly

## 01 AI data centers have seen a surge in electricity demand

The large-scale data centers consume a lot of electricity to process massive processes, which is contributing to carbon emissions and energy consumption.

## Law

1 **Data privacy compliance**

2 **Industry access**

China is becoming more stringent on data privacy regulations. The Personal Information Protection Law strengthens the responsibility of enterprises to protect user data

For regulated industries such as service finance, AI companies will be subject to strict access reviews

# Two key words

## Technical Development

Supply capacity

- ➢Speed of technological iteration
- ➢Speed of performance improvement
- ➢Speed of functional enhancement
- ➢Speed of commercialization

- ➢Willingness to migrate businesses and data to the cloud
- ➢Penetration rate of cloud solutions
- ➢Customer willingness to pay and migration costs
- ➢Industry policies and security & trustworthiness

## Cloud Adoption

Market demand

# Scenario planning

Breakthrough

Technology development

Slow development

Low cloud adoption

Cloud adoption rate

High cloud adoption

### The Fortress AGI Core

**Features**: AGI achieves breakthrough progress, but strict data privacy regulations force large enterprises to insist on on-premises deployment .

**Industry Landscape**: Highly customized private large models become mainstream. AI firms must deploy large on-site engineering teams as cost-sharing via public cloud is impossible. Entry barriers are extremely high; vertical specialists with deep financial industry expertise and local deployment experience gain significant advantages, with high profit margins but scalability challenges.

### The Cloud AGI Utopia

**Features**: AGI breakthroughs coincide with regulations permitting public cloud data sharing, making clients willing to migrate data to the cloud.

**Industry Landscape**: The entire industry shifts to SaaS and public cloud models, enabling low-threshold plug-and-play enterprise-level AI. Internet giants (Baidu/Alibaba/Tencent) monopolize the market via cloud platforms, forcing small AI startups to transform into plugin developers on these platforms.

### Stagnant Silos

**Features**: Only incremental technical optimization with no major breakthroughs, paired with extreme data isolation and declining customer satisfaction with AI experiences .

**Industry Landscape**: Enterprises refuse to pay for costly on-premises deployment, leading to shrinking industry demand and market consolidation. AI products face "intelligence impairment" bottlenecks, eroding customer trust.

### Commoditized Cloud Bots

**Features**: Slow technical progress (no AGI level) but widespread public cloud adoption, with clients preferring standardized products.

**Industry Landscape**: Conversational AI becomes a cheap commodity. Standardized public cloud products dominate, triggering fierce price wars (loss-leader pricing). Industry profits are razor-thin, forcing firms to compete on sales volume and scale.

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# The most likely scenario

Scenario B (The Fortress AGI / The Super Brain in the Data Fortress)

## Justification:

01

- **The strong regulatory environment is irreversible**: The Chinese government's increasing emphasis on data security and personal privacy protection (mentioned in the Case, over 85% of financial clients insist on On-premises to comply with compliance requirements). Even by 2030, core enterprises such as finance and government affairs will not easily place their core data on public clouds.

02

- **The inevitability of technological evolution**: The leaders of enterprises like Zhuiyi in the Case clearly view AGI as their long-term vision (Case, p. 8). The current development of large language models (LLMs) has confirmed the inevitability of technological breakthroughs.

03

- **Deep industry barriers**: Enterprise-level software (B2B) is different from consumer software (B2C), as it requires extremely high fault tolerance and industry know-how (Case, p. 7-8). Giants cannot easily use standardized public cloud products to swallow up all the To B market. Deep customization (private deployment of super AI) in vertical fields will be the most mainstream business model in the Chinese enterprise-level AI industry in 2030.

# Strategic Options for the Industry

①

Give up the fantasy of standardized lightweight SaaS and concentrate resources on developing high-performance "industry large models" that are compatible with private deployment.

②

Build a deep barrier of industry know-how (such as specializing in finance or healthcare), provide "algorithm + industry data + on-site service" deep customization solutions, and increase the average transaction value.

# Early Indicators

### Policy Signals

The government issues stricter regulations on data export and cross-enterprise data sharing, or imposes huge fines for public cloud data breaches.

### Market Signals

In the bidding documents of leading banks and state-owned enterprises, it is clearly required to "fully privatized deployment" and significantly increase the procurement budget for local AI computing power servers.

### Technical Signals

The Open-source models technology has exploded, enabling enterprises to have the ability to train extremely powerful private models locally.

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# PART 2

# 5 Force & KSF & Strategy Groups

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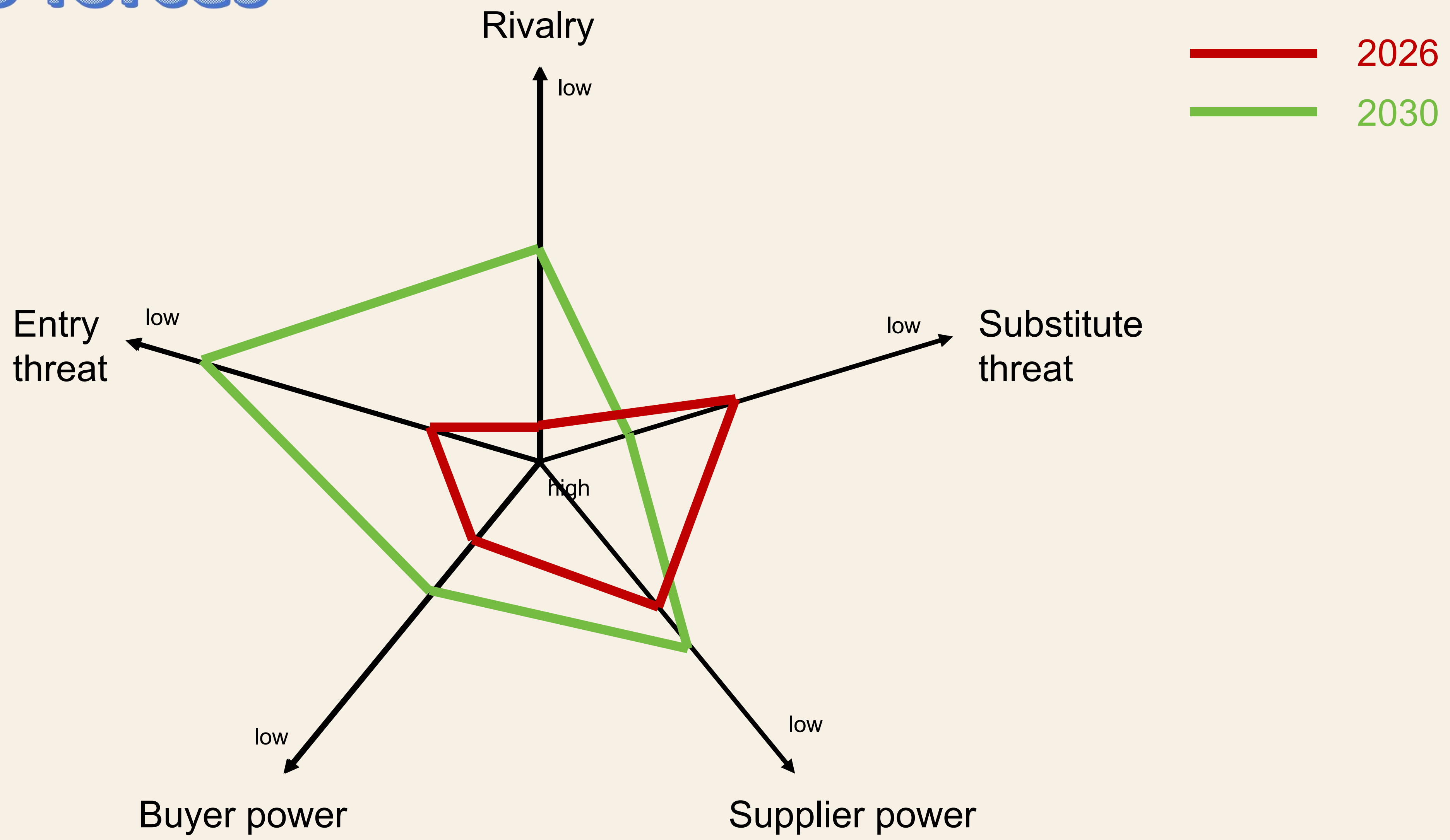
# Porter 5 forces



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## 2026 HIGH

A three-tier competitive landscape has solidified, with direct confrontation in the different market. Internet giants (Baidu, Alibaba, Tencent), specialized AI vendors (iFLYTEK, Zhuiyi Technology), and niche startups.

Price competition persists, with some manufacturers adopting loss-making strategies to acquire customers. Manufacturers compete for customers by offering low prices, resulting in intense industry competition.

The industry is in an expansion phase with fierce competition across segments. Substantial growth potential remains in finance, government affairs, manufacturing, and other sectors. Competitors are accelerating cross-industry expansion.

## Internal Rivalry

## 2030 MEDIUM

The competition modes become more established with clear segmentation. The industry has completed integration. Enterprises now pursue differentiated positioning, leading to a significant reduction in direct competition.

Shifting focus from “scale expansion” to “profit improvement,” with price wars fading away. The AI industry has entered a mature and stable phase, with competitors shifting priorities toward technology value-added services.

Small and medium competitors were eliminated, the number of competitors reduced. The enterprises without technological barriers have gradually been weeded out. Only top giants remain in the market.

2

## 2026 HIGH

**01** **Key customers**, such as governments or state-owned enterprises, have **extremely high product quality requirements**. **Customer satisfaction issues** are a common industry problem.

**02** Large customers typically adopt a **multi-supplier strategy**. Enterprises **can't monopolize all demand** from a single customer.

**Key customers are powerful and have more options !**

**03** **Lower technical barriers** and the popularity of open-source models have given customers **more technical options**.

## 2030 POLARIZATION

**Buyer Power**

**Large enterprise** — **HIGH**

They are **remain powerful**. Once suppliers enter their vendor system, it will be **continuous pressure and increasingly requirements** in the long term.

**Small enterprise** — **LOW**

They are **weaker**. They can accept **standardized** SaaS products but **pursue extreme cost-effectiveness.**

# Entry threat & Substitute threat & Supplier power

## Entry Threat

*2026: High* → Technology is mature, **entry barriers continue to decline**, and open-source models further **reduce technical obstacles**.

*2030: Low* → As market capital dries up and **capital only flows to industry leaders**. New entrants have almost no opportunities.

## Substitute Threat

*2026: Medium-High* → The biggest substitute threat has shifted from "manual customer service" to **"customer in-house development"** and **"upgraded products".**

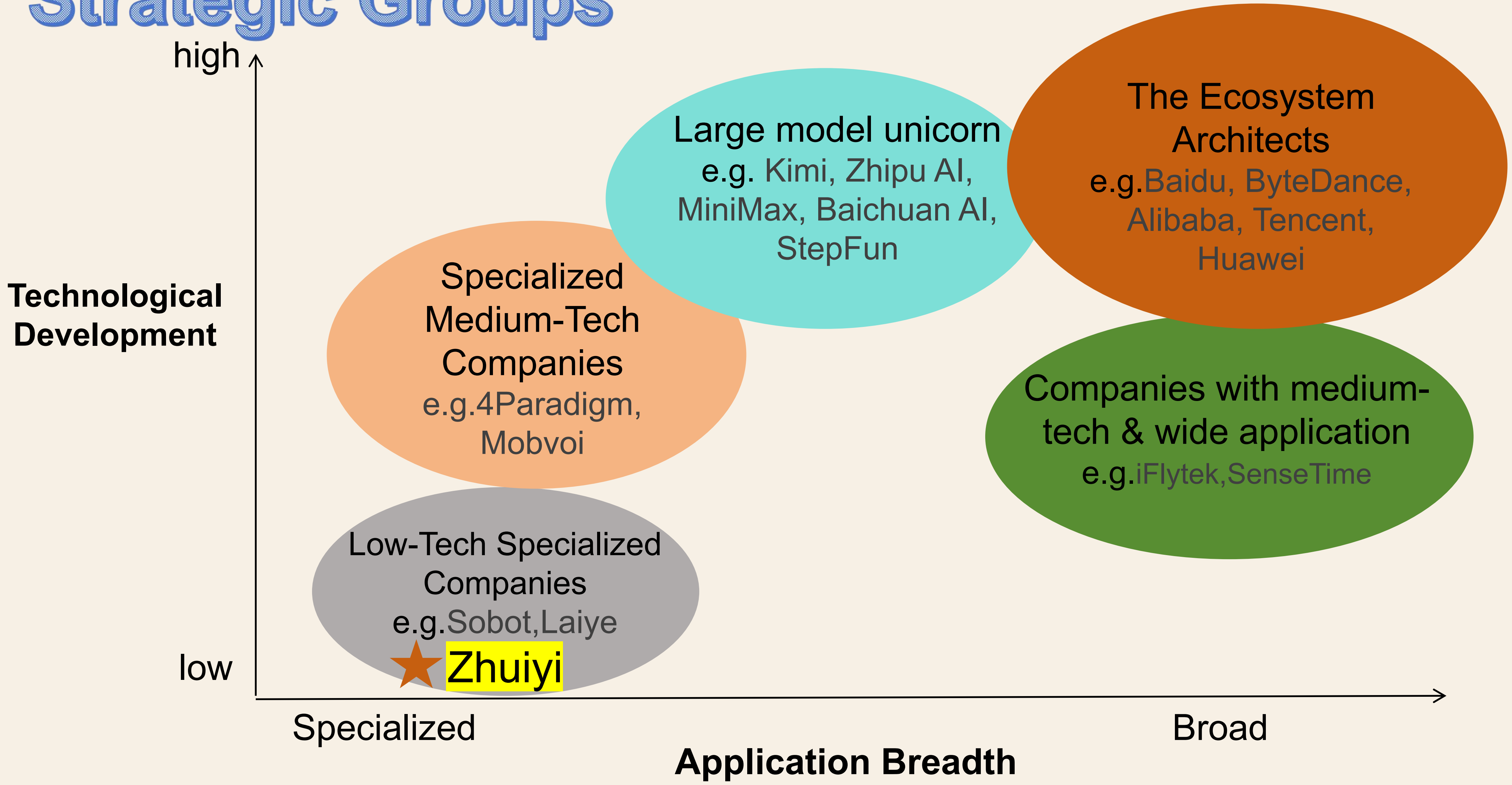
*2030: High* → If NLP technology advances**, artificial general intelligence could replace** specialized small models.

## Supplier Power

*2026: Medium* → Talent costs remain high, but **technical sources have diversified**.

*2030: Low* → **Large models become commoditized**. Also, **the talent shortage will ease** as AI training systems mature

# Strategic Groups



# KSF analysis

## Low Technology + Narrow Application

### Key Success Factors (KSF):

- **Basic** NLP technology implementation capability
- **Low-cost and rapid deployment** on public cloud
- **Standardized products** in a single industry scenario can be mass-replicated, reducing R&D costs

### Core Customer Characteristics:

- Micro and small enterprises, single-track traditional merchants.
- Highly price-sensitive, only need basic functions for a single scenario

## Medium Technology + Medium Application

### Key Success Factors (KSF):

- **Maturity** of mid-level NLP technology
- **Voice + text** multi-modal interaction capability
- **Rapid iteration/agile development** capability across industry scenarios
- Basic data **privacy compliance capability**

### Core Customer Characteristics:

- Medium and large internet enterprises, local government/medium-sized traditional enterprises.
- Relatively price-sensitive, need cross-industry general functions, require rapid implementation.

# KSF analysis

## High-tech + Wide-application

### Key Success Factors (KSF):

- **Leading NLP Technology**
- The ability to **maintain high-stickiness** cooperation with government and enterprise key clients
- Complex **Agent & Emotional Understanding Capability**
- **Full-Scenario Local** Deployment (Data Security Compliance)

### Core Customer Characteristics:

- Insensitive to prices, with data security as the core, requiring industry-wide customized functions, and zero tolerance for instability.

## Medium Technology + Medium Application

### Key Success Factors (KSF):

- **Vertical Industry-Specific** NLP(Adapt to industry-specific terminology/scenarios)
- Strict Compliance & Qualifications
- **In-Depth Scenario Polishing**
- **Leading Customer Resources** in Vertical Industries

### Core Customer Characteristics:

- With extremely high technical requirements, narrow application scenarios but high professionalism requirements.

# Strategic Competitor Analysis Matrix

★ What enterprises need now are "AI that can get the job done"

| Dimension | Sobot (智齿科技) | Laiye (来也科技) | 4Paradigm (第四范式) |
|---|---|---|---|
| Core Positioning | Intelligent Customer Service SaaS & Digital Interaction Hub | Intelligent Automation (RPA + AI) Platform | Enterprise-level Decision-making AI Platform |
| Key Strengths | Deep customer service scenario expertise; user-friendly UI; rapid deployment | Robust process automation; tight integration with finance/HR workflows | Strong ML/Decision-making models; excellence in handling complex business data |
| Key Weaknesses | Over-reliance on marketing/support scenarios; lacks depth in business decisioning | Heavy reliance on RPA; limited depth in native Generative AI understanding | Highly complex/expensive products; high delivery barrier; weak presence in mid-market |
| Industry Assumptions | "Conversations" are the core gateway to digital transformation. | "Process Automation" creates more direct financial value than "Conversation". | "AI-driven Decisioning" is more critical for large enterprises than interactive tools. |

**Zhuiyi's Strategies**

Exert control over complex business logic

Avoid sinking into the red ocean price war of pure customer service SaaS

"NLP" & "Complex intent interaction"

"Lightweight delivery" & "Rapid response"

Reduce the deployment and maintenance costs of enterprises

# Thanks for listening!